

the U.S. and \$866 billion globally. I don't know that we will see that kind of record volume this year, but you will see some big numbers. Why? The world is awash in liquidity, rising equity markets make stock a more valuable currency and, most importantly, it is still cheaper to buy businesses on global stock markets than it is to build them from scratch.

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*Another global dynamic that isn't new, but is far from finished, is strategic merger-and-acquisition activity. . . . It is still cheaper to buy businesses on global stock markets than it is to build them from scratch.*

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How do you take advantage of this long-term trend? I am going to unabashedly preach for my own church here. As Benjamin Graham and his successor at Columbia, Roger Murray, instructed us, and as Warren Buffett has put so profitably into practice, you approach stocks as if they were pieces of a business you want to buy at a discount to what Graham called intrinsic value, others call economic value, and what years ago was termed "private market value."

How do you go about quantifying value? We believe free cash flow, defined as earnings before interest, taxes and depreciation (EBITD), or a slight variation, EBITDA, both minus the capital expenditures necessary to grow the business, is the best barometer of a company's value. Most corporate merger-and-acquisition people look at the very same thing. When the informed industrialist is evaluating a business for purchase, he or she is not going to put a lot of weight on stated book value. That's for accountants, not for savvy buyers of businesses. They probably don't care much about net earnings. Clever corporate managements can be creative in booking earnings. What that informed industrialist wants to know is: How much cash is this business throwing off